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TAX & ADVISORY

FREE GUIDE · 8 PAGES

Tax Advisory *Readiness* Guide

What every business owner, investor, and rental property owner should understand before sitting down with a tax advisor — and why it changes everything.

Brandon Mondragon
Tax & Advisory Professional · San Diego, CA
mondragonbookkeeping.com

INTRODUCTION

Most people don't know what they're *missing.*

Tax preparation is what happens after the year is over. Tax advisory is what happens during it. The two are completely different services — and confusing them is one of the most expensive mistakes a business owner, investor, or property owner can make.

> *"The goal of this guide is simple: by the time you finish it, you'll know the right questions to ask, the right information to bring, and the right things to expect from an advisory relationship — before you ever walk into a meeting."*

WHAT YOU'LL WALK AWAY WITH

- ✓ The 5 questions every business owner, investor, and property owner should be able to answer about their taxes right now
- ✓ A clear understanding of the difference between a tax preparer and a tax advisor — and why it matters for your situation
- ✓ A quarter-by-quarter planning calendar showing what proactive tax planning actually looks like
- ✓ The specific opportunities most people miss — broken down by whether you're a business owner, rental property owner, or investor
- ✓ Exactly how to prepare for your first advisory conversation so you leave with a real plan

This guide will not tell you to "consult a tax professional." You're reading it because you're already considering that. Instead, it will give you the framework to make that conversation as valuable as possible — and to know whether the professional you're speaking with is actually doing their job.

SELF-ASSESSMENT

5 questions you should be able to *answer right now.*

These aren't trick questions. But if you can't answer most of them with confidence, you're likely paying more in taxes than you need to — and carrying risk you don't know about.

01

What is your effective tax rate — and what drives it?

Not your tax bracket. Your actual rate: total tax paid divided by total income. If you can't name it, you don't have a baseline. And without a baseline, there's nothing to optimize.

02

Are you making quarterly estimated tax payments — and are they accurate?

Underpayment penalties compound quietly. Many self-employed individuals and investors write a big check in April not because they made more — but because no one ran the numbers midyear.

03

Is your entity structure still right for where your business is today?

An LLC that made $40K three years ago may be leaving $6,000–$12,000 on the table annually by not electing S-corp status now. Entity structure is a moving target — it should be reviewed every year.

04

Do you have a retirement plan set up through your business?

A Solo 401(k) or SEP-IRA is one of the most powerful tax reduction tools available to self-employed individuals. Many business owners are aware of it but don't have one set up.

05

Are all your deductible expenses actually being captured?

Home office, vehicle use, health insurance premiums, business meals, software, professional development — most of these require proper documentation. If you're not tracking them throughout the year, they won't show up on your return.

UNDERSTANDING YOUR OPTIONS

Preparer vs. Advisor — a *critical difference.*

Most people use the terms interchangeably. They are not the same. The distinction determines whether you're simply compliant — or actually building a tax strategy.

TAX PREPARER

Documents what happened

A tax preparer receives your documents after the year closes and records what already occurred. They produce an accurate return based on historical information. Their job ends at filing. There is no looking forward.

TAX ADVISOR

Shapes what will happen

A tax advisor works with you during the year — before decisions are made. They identify strategies, model scenarios, and implement plans that reduce your tax liability before the year closes. They work in the present tense.

THE CORE INSIGHT

The tax code is not designed to be punishing — it is designed to incentivize specific behaviors. Retirement savings. Business investment. Real estate ownership. Charitable giving. A tax advisor's job is to align your financial decisions with those incentives throughout the year, not to document them after the fact.

WHAT AN ADVISORY RELATIONSHIP LOOKS LIKE IN PRACTICE

- ✓ Mid-year tax projection with specific action items before December 31
- ✓ Entity structure review and timing recommendations
- ✓ Retirement plan setup and contribution strategy
- ✓ Quarterly estimated tax calculations so there are no surprises in April
- ✓ Answers to your questions within 24–48 hours — not just during filing season

PLANNING CALENDAR

What proactive tax planning actually *looks like.*

Tax planning is not a once-a-year event. It's a series of decisions made at the right moments throughout the year. Here's what a full advisory calendar looks like in practice.

Q1 · JAN – MAR

Review & Reset

- File prior-year return or extension
- Review prior-year effective rate
- Set Q1 estimated tax payment (Apr 15)
- Open or fund retirement accounts for prior year
- Review entity structure with advisor
- Set up bookkeeping system if needed

Q2 · APR – JUN

Mid-Year Foundation

- Q2 estimated payment (Jun 15)
- Review YTD income vs. prior year
- Check deductible expense tracking
- Evaluate S-corp salary if applicable
- Review rental property depreciation schedule
- Flag any large asset purchases planned for H2

Q3 · JUL – SEP

Projection & Strategy

- Q3 estimated payment (Sep 15)
- Run full-year tax projection
- Model retirement contribution scenarios
- Evaluate Roth conversion opportunity
- Time capital gains/losses if applicable
- Accelerate deductions if income is high

Q4 · OCT – DEC

Year-End Execution

- Q4 estimated payment (Jan 15)
- Max retirement plan contributions
- Purchase deductible equipment before Dec 31
- Harvest tax losses in investment accounts
- Charitable giving strategy if bunching
- Gather documents and prep for filing

KEY POINT

Decisions made after December 31 are documentation. Decisions made before December 31 are strategy. The window for most tax-saving moves closes at year-end — not at the filing deadline.

MISSED OPPORTUNITIES

What most people are leaving on the *table.*

The opportunities below are not obscure. They are well-established provisions of the tax code that apply to millions of taxpayers — and are routinely missed because nobody flagged them.

SITUATION

Business Owner

- S-corp election not evaluated — self-employment tax may be overpaid by thousands annually
- No retirement plan, or wrong plan type for income level (Solo 401k vs SEP vs SIMPLE)
- Home office deduction not taken, or taken incorrectly
- Vehicle use not documented — actual expense vs. standard mileage not evaluated
- Health insurance deduction not taken at the business level
- Qualified Business Income (QBI) deduction not optimized

SITUATION

Rental Property

- Depreciation not being taken — or not segregated (cost segregation study opportunity)
- Passive activity loss rules not understood — losses suspended unnecessarily
- Real estate professional status not evaluated for high-income owners
- Repairs vs. improvements misclassified — deductibility timing affected
- 1031 exchange opportunity missed at sale
- Mileage and travel to/from property not tracked or deducted

SITUATION

Investor

- Short-term vs. long-term capital gains not managed — holding periods not planned
- Tax-loss harvesting not occurring throughout the year
- Net Investment Income Tax (3.8%) not anticipated or planned around
- Qualified Opportunity Zone investments not considered
- Charitable giving not structured for tax efficiency (donor-advised funds)
- Roth conversion windows not identified in low-income years

BEFORE YOUR FIRST MEETING

How to prepare for your first *advisory conversation.*

The value of an advisory meeting is determined before it starts. The more context you bring, the more specific and actionable the output. Here's exactly what to have ready.

DOCUMENTS TO GATHER

- ✓ Last 2 years of tax returns (federal and state) — these tell the full story of your tax position
- ✓ Most recent pay stubs or YTD profit & loss statement if self-employed
- ✓ Any 1099s received this year (1099-NEC, 1099-K, 1099-INT, 1099-DIV, 1099-R)
- ✓ Business entity documents if applicable (LLC operating agreement, S-corp election)
- ✓ Mortgage statement and property tax bill if you own real estate

QUESTIONS TO BE READY TO ANSWER

- ✓ What is your estimated income for this year, and how does that compare to last year?
- ✓ Are there any major transactions expected this year — a sale, acquisition, large payment, or inheritance?
- ✓ Do you currently have a retirement account, and are you contributing to it?
- ✓ What is your primary goal: minimize this year's tax bill, plan for the next 3–5 years, or both?

You don't need to have all the answers. An advisory conversation is a two-way diagnostic — not a test. The questions above give your advisor a starting point. The more honest and complete your answers, the more specific the recommendations you'll walk away with.

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READY TO TAKE THE NEXT STEP

Let's build your tax strategy *together.*

You've read the framework. Now let's apply it to your actual situation. A free initial consultation — no obligation, no pressure — is the best way to find out what you're missing and what it would look like to fix it.

EMAIL brandon@mondragonbookkeeping.com

WEB mondragonbookkeeping.com

PORTAL portal.mondragonbookkeeping.com

INSTAGRAM @mondragon.taxadvisory

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